

NEPAL · FINANCIAL LITERACY SERIES

Money Works When You Understand It

A practical guide to managing money, building savings, and making smart financial decisions — grounded in Nepal's real banking system and everyday Nepali life.

6	30+	Beginner
Core modules	Nepal-specific examples	No prior knowledge needed

MODULE 01 FOUNDATION

How Money Works: Saving, Spending & Budgeting

Before any strategy, you need to understand what money actually is and what it does — because most people spend it before they think about it.

What is money, really?

Money is a tool for exchanging value. You give your time and skills to an employer or customer — they give you money. You use that money to get food, transport, and services from others. That is the entire system.

The key insight: **money is neutral**. It does not grow on its own. It only works for you if you understand and direct it. If you don't direct it, others will — through advertising, social pressure, or interest charges.

NEPALI CONTEXT

Imagine Sita earns Rs. 35,000/month as a school teacher in Pokhara. That number enters her account on the 28th. By the 10th of the following month, it is mostly gone — spent on rent, groceries, and some entertainment. She is not doing anything wrong exactly, but she has no direction. She is reacting to expenses rather than deciding in advance. This module is about changing that.

The three uses of money

Every rupee you receive will be used in one of three ways:

USE	WHAT IT MEANS	EXAMPLE
Spending	Exchanging money for goods or services you consume now	Dal bhat, bus fare, phone recharge

USE	WHAT IT MEANS	EXAMPLE
Saving	Keeping money aside for a future use	Putting Rs. 5,000 in a savings account every month
Investing	Using money to generate more money over time	Buying shares in NEPSE, fixed deposits

Most people only practice spending. Financially literate people consciously allocate across all three — even on small incomes.

Budgeting: deciding where your money goes before you spend it

A budget is simply a plan for your money. It is not a restriction — it is permission. When you budget Rs. 6,000 for food, you don't have to feel guilty spending it on food. You already decided that was the right amount.

The most widely used framework is the **50/30/20 rule**, adapted here for a Nepali context:

Needs (50%)	50%
Wants (30%)	30%
Savings (20%)	20%

WORKED EXAMPLE — RS. 40,000 SALARY IN KATHMANDU

Needs (Rs. 20,000): Rent Rs. 10,000 · Food Rs. 6,000 · Transport Rs. 2,500 · Utilities Rs. 1,500

Wants (Rs. 12,000): Eating out Rs. 3,000 · Internet Rs. 2,000 · Clothes Rs. 3,000 · Social/misc Rs. 4,000

Savings (Rs. 8,000): Emergency fund Rs. 3,000 · Goal savings Rs. 5,000

This is not rigid. If your rent is Rs. 14,000, adjust — cut wants, not savings.

COMMON MISTAKE

Many students think: "I will start saving once I earn more." This is the most dangerous financial belief in Nepal. A person earning Rs. 25,000 who saves 10% (Rs. 2,500/month) will have significantly better financial health than a person earning Rs. 60,000 who saves nothing. Income is not the deciding factor — habit is.

The emergency fund: your financial immune system

Before any investment, before any goal, you need an emergency fund — money set aside that you do not touch unless something genuinely unexpected happens: job loss, medical emergency, family crisis.

Target: 3 to 6 months of your essential expenses. If your essential expenses are Rs. 20,000/month, your emergency fund target is Rs. 60,000–1,20,000.

Keep this in a separate savings account — not in your regular account where you might spend it. NIC Asia, Global IME, and most commercial banks let you open a second account for exactly this purpose.

YOUR ACTION PLAN — MODULE 1

1. Track every rupee you spend for 30 days. Use a notebook, spreadsheet, or a free app like Money Manager.
2. Categorize your spending into Needs, Wants, and Savings.
3. Create a monthly budget using the 50/30/20 framework — adjusted for your actual life.
4. Open a separate savings account and set up an automatic transfer of even Rs. 1,000–2,000 per month into it as your emergency fund.

Interest, Inflation & Purchasing Power

Three invisible forces are at work on your money at all times. If you don't understand them, they work against you. If you do, you can use at least one of them in your favor.

Simple interest vs. compound interest

Simple interest is calculated only on the original amount (the principal). **Compound interest** is calculated on the principal plus all the interest already earned. The difference sounds small. Over time, it is enormous.

SIMPLE INTEREST

$$I = P \times R \times T$$

P = Principal · R = Annual rate · T = Time in years

COMPOUND INTEREST (COMPOUNDED ANNUALLY)

$$A = P \times (1 + R)^T$$

A = Final amount · Same variables as above

REAL COMPARISON — RS. 1,00,000 OVER 10 YEARS AT 8% PER YEAR

YEAR	SIMPLE INTEREST	COMPOUND INTEREST
Year 1	Rs. 1,08,000	Rs. 1,08,000
Year 3	Rs. 1,24,000	Rs. 1,25,971
Year 5	Rs. 1,40,000	Rs. 1,46,933
Year 10	Rs. 1,80,000	Rs. 2,15,892

The compound version earns **Rs. 35,892 more** — without any additional deposits. That gap widens every year.

THE DANGEROUS SIDE OF COMPOUND INTEREST

Compound interest works for you in savings and investments. It works against you in loans. A personal loan at 18% compounding monthly is not a simple 18% cost — the true cost is higher. This is why many Nepalis who take high-interest personal loans or microfinance loans find themselves owing more after years of payments.

Inflation: the silent tax on your savings

Inflation means the general price level rises over time. The same Rs. 100 buys less next year than it does today. This is not a disaster — it is a normal economic process. But it has direct implications for how you save.

If Nepal's inflation rate is 6% per year and your savings account pays 5% interest, your money is **losing purchasing power** — even though the number in your account is growing.

REAL RETURN

Real Return $\approx$ Nominal Rate – Inflation Rate

Example: 7% savings rate – 6% inflation = 1% real return. You are barely ahead.

WHAT INFLATION LOOKS LIKE IN NEPAL

In 2015, a plate of dal bhat in a mid-range Kathmandu restaurant cost around Rs. 100–120. By 2024, the same meal costs Rs. 180–220. That is roughly a 70–80% price increase over 9 years — averaging about 6–7% per year.

Your grandfather's Rs. 5 lakh kept as cash in 2005 has the purchasing power of roughly Rs. 1.5–2 lakh today. The cash did not disappear — but its value did.

This is why keeping large amounts of cash at home — a common practice in Nepal — is financially harmful over the long run. Money in a savings account at least partially offsets inflation. Money in a mattress loses to inflation completely.

Purchasing power: what your money can actually do

Purchasing power is the real measure of your wealth — not the number in your account. Two people can both have Rs. 50,000 — but if one lives in Kathmandu and one in Dhankuta, their purchasing power is different. Similarly, Rs. 1,00,000 today will not buy what Rs. 1,00,000 could buy 10 years ago.

Key insight: If you are saving Rs. 5,000 per month toward a goal of Rs. 5 lakhs — and it will take 8 years — you need to account for the fact that Rs. 5 lakhs in 8 years will not buy as much as Rs. 5 lakhs today. At 6% annual inflation, prices roughly double every 12 years. Plan accordingly.

YOUR ACTION PLAN — MODULE 2

1. Check the current savings account interest rate at your bank. Ask at the branch or look it up on their website.
2. Compare it to Nepal's current inflation rate — available on nrb.org.np.
3. Calculate your real return. If it is near zero or negative, consider whether a fixed deposit might give you a better real return.
4. For any financial goal more than 3 years away, add a 6% annual inflation adjustment to your target amount.

Personal Finance Planning & Goal-Setting

A goal without a financial plan is a wish. A plan without a specific goal is just vague saving. You need both — and they need to be concrete enough to drive your monthly decisions.

Short, medium, and long-term financial goals

Not all goals are the same. Mixing them — saving for a Pokhara trip in the same account as saving for a house — is a reliable way to spend the house fund on the trip.

HORIZON	TIMEFRAME	NEPALI EXAMPLES	BEST INSTRUMENT
Short-term	Under 1 year	New phone, Dashain expenses, semester fees	Savings account
Medium-term	1–5 years	Motorcycle, marriage fund, overseas education	Fixed deposit, recurring deposit
Long-term	5+ years	House/land, retirement, children's education	Property, NEPSE shares, Citizen Investment Trust (CIT)

Making goals SMART

The most common failure in personal finance is vague goals. "I want to save money" is not a plan. "I want to save Rs. 2,40,000 in 24 months for a motorcycle by depositing Rs. 10,000/month in a fixed deposit at 9% interest" — that is a plan.

LETTER	MEANING	WEAK VERSION	STRONG VERSION
S	Specific	"Save money"	"Save for a Royal Enfield motorcycle"

LETTER	MEANING	WEAK VERSION	STRONG VERSION
M	Measurable	"A lot"	"Rs. 3,50,000"
A	Achievable	Requires saving 90% of income	Requires saving 25% of income
R	Relevant	A goal copied from someone else	A goal that matters to your actual life
T	Time-bound	"Someday"	"By December 2027"

Your personal net worth: the real scorecard

Net worth is the single most important number in your financial life. It tells you where you actually stand.

NET WORTH

Net Worth = Assets – Liabilities

Assets: what you own · Liabilities: what you owe

EXAMPLE — RAMESH, 28, KATHMANDU

Assets: Savings account Rs. 80,000 · Fixed deposit Rs. 1,50,000 · Motorcycle resale value Rs. 90,000 · NEPSE shares Rs. 40,000 — Total: Rs. 3,60,000

Liabilities: Motorcycle loan remaining Rs. 1,20,000 · Personal loan Rs. 50,000 — Total: Rs. 1,70,000

Net Worth: Rs. 1,90,000. Ramesh has a positive net worth. His goal now is to reduce liabilities and increase assets. Net worth should grow every year.

Why this matters more than income: A government officer earning Rs. 60,000/month with Rs. 20 lakhs in loans has a lower net worth than a shopkeeper earning Rs. 30,000/month who owns their shop and has no debt. Income is a flow. Net worth is your actual wealth.

YOUR ACTION PLAN — MODULE 3

1. Write down one goal for each time horizon (short, medium, long-term). Make each one SMART.
 2. Calculate your current net worth honestly — include all debts.
 3. Open a separate savings account for each medium-term goal so the funds stay separate.
 4. Set a reminder to recalculate your net worth every 6 months to track progress.
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Nepal's Banking System: NRB & Commercial Banks

Most people use a bank without understanding how banking works or who sets the rules. Understanding the system makes you a more informed customer and protects you from common mistakes.

The three-tier structure

CLASS	TYPE	ROLE	EXAMPLES
"A" class	Commercial Banks	Full-service banking for individuals and businesses	Nepal Bank Ltd, Nabil Bank, Global IME, NIC Asia, Himalayan Bank
"B" class	Development Banks	Regional focus, agricultural and project loans	Muktinath Bikas Bank, Shine Resunga
"C" class	Finance Companies	Hire-purchase and consumer financing	ICFC Finance, Janaki Finance

There are also **Microfinance Institutions (MFIs)** serving rural areas and lower-income households, and **Cooperative Societies** — member-owned savings and credit unions that operate under separate regulation.

Nepal Rastra Bank (NRB): the regulator

Nepal Rastra Bank is Nepal's central bank. It does not deal with ordinary customers — you cannot open an account at NRB. Instead, NRB controls the entire banking system from above.

NRB FUNCTION	WHAT IT MEANS FOR YOU
Sets the Cash Reserve Ratio (CRR)	Determines how much of your deposits banks must keep in reserve vs. can lend out

NRB FUNCTION	WHAT IT MEANS FOR YOU
Sets the Policy Rate	Indirectly influences what interest rate your bank offers on loans and savings
Issues currency	NRB is the only institution that can print and issue Nepali rupees
Manages foreign exchange reserves	Controls how many USD, INR, and other currencies Nepal holds — affects import capacity
Licenses and supervises banks	If a bank is caught doing something illegal, NRB can revoke its license

WHY NRB POLICY AFFECTS YOUR LIFE DIRECTLY

In 2022–23, NRB tightened monetary policy to address inflation and the balance of payments crisis. This caused commercial banks to raise lending rates. Home loan rates jumped from around 8–9% to 14–16%. Thousands of borrowers who had taken variable-rate loans suddenly had their monthly EMIs increase significantly — not because they borrowed more, but because NRB policy changed. This is why monetary policy is not just academic. It directly affects the cost of your loans and returns on your savings.

Types of accounts and what they are actually for

ACCOUNT TYPE	INTEREST RATE (APPROX.)	BEST USED FOR
Current Account	0% or very low	Businesses with high-volume daily transactions
Savings Account	4–7% per year	Emergency fund, everyday savings, short-term goals
Fixed Deposit (FD)	8–12% per year	Medium-term goals — money you won't need for 3–24 months
Recurring Deposit (RD)	7–10% per year	Systematic saving — deposit a fixed amount every month

Deposit Insurance: In Nepal, deposits up to Rs. 5,00,000 per depositor per bank are insured by the Deposit and Credit Guarantee Corporation (DCGC). If a licensed commercial bank fails, you will not lose your money up to that amount. This protection does not fully apply to cooperatives or unlicensed schemes — which is one reason keeping large sums in cooperatives carries higher risk.

YOUR ACTION PLAN — MODULE 4

1. Visit nrb.org.np and find the current Policy Rate. Note whether it is higher or lower than last year — this tells you whether borrowing is getting more or less expensive.
2. Check whether your savings are in a licensed "A" or "B" class institution. If you have a significant amount in a cooperative, understand that your deposit insurance protection may be limited.
3. Ask your bank what interest rate they offer on fixed deposits for 1-year and 2-year terms. Compare across two or three banks.

Credit, Loans & Responsible Borrowing

Debt is not inherently bad. It is a tool. But like most tools, using it wrong can cause serious damage. Nepal has a growing debt culture, and understanding how borrowing really works is more important than ever.

Types of loans available in Nepal

LOAN TYPE	TYPICAL USE	TYPICAL RATE (2024)	SECURED?
Home Loan	Purchase or construction of house or land	10–14%	Yes (property as collateral)
Auto / Vehicle Loan	Motorcycle, car, truck	11–15%	Yes (vehicle as collateral)
Education Loan	Domestic or foreign study	9–12%	Partial (guarantor or assets)
Personal Loan	Any personal expense	14–20%	No
Microfinance Loan	Small business, rural needs	15–24%	Group guarantee
Hire Purchase	Consumer goods (appliances, vehicles)	15–22%	Yes (goods as collateral)

Understanding EMI (Equated Monthly Installment)

When you take a loan, you repay it through EMIs — a fixed monthly amount that includes both principal (the original amount) and interest. Early EMIs are mostly interest. Later EMIs shift toward principal. This structure is called amortization.

EMI FORMULA

$$EMI = P \times r \times (1+r)^n \div [(1+r)^n - 1]$$

P = Loan amount · r = Monthly interest rate · n = Number of monthly payments

WORKED EXAMPLE — RS. 5,00,000 PERSONAL LOAN AT 18% FOR 3 YEARS

Monthly interest rate: $18\% \div 12 = 1.5\%$ | Months: 36

EMI ≈ Rs. 18,075 per month

Total paid over 3 years: $Rs. 18,075 \times 36 = \text{Rs. 6,50,700}$

You borrowed Rs. 5,00,000 and paid back Rs. 6,50,700. The extra Rs. 1,50,700 is the **true cost of borrowing**. Before taking any loan, always calculate this number first.

DANGEROUS THINKING

"I can afford it — the EMI is only Rs. 8,000/month." This framing is how people end up over-leveraged. The question is not whether you can afford the EMI today. The question is: can you afford it for the next 36 months through a job loss, family emergency, or income disruption? EMI commitment should never exceed 35–40% of your take-home income.

Credit history in Nepal: why it matters

Nepal's Credit Information Bureau (CIB) maintains records of your borrowing history. When you apply for a loan, banks check your CIB report. A poor record — missed payments, defaults — makes it harder and more expensive to borrow in the future.

Nepal is still developing its formal credit scoring system, but the principle is clear: **your borrowing behavior creates a track record**. Start building a positive one early.

HOW TO BUILD GOOD CREDIT HISTORY IN NEPAL

1. Take a small loan (a Rs. 50,000 vehicle loan or an FD-backed loan) and repay it on time every single month.
2. Never miss a payment — even by a few days. Set up automatic payments if your bank supports it.

3. Don't borrow more than you can comfortably repay. A bank may offer you Rs. 10 lakh — that does not mean you should take Rs. 10 lakh.

YOUR ACTION PLAN — MODULE 5

1. Before taking any loan, calculate the total cost of borrowing ($\text{EMI} \times \text{number of months}$) — not just the EMI itself.
2. Ensure your total monthly debt obligations do not exceed 35% of your monthly take-home income.
3. If you already have multiple loans, list them by interest rate. Focus extra repayments on the highest-rate loan first (the "avalanche method") to minimize total interest paid.
4. If you have microfinance debt at 20%+ rates, pay these off before making any investments — no reliable investment in Nepal consistently returns 20%.

Reading Financial News & Economic Indicators

Financial news is useful only if you know what to look for. Most of it is noise. A small set of indicators actually predicts things that matter to your savings, loans, and purchasing power. Learn those — ignore the rest.

The five indicators that actually affect your financial life

INDICATOR	WHAT IT MEASURES	WHY YOU CARE	WHERE TO FIND IT
Inflation Rate (CPI)	How fast prices are rising	Tells you whether your salary and savings are keeping pace	nrb.org.np, CBS Nepal
NRB Policy Rate	The benchmark interest rate	Predicts the direction of loan and deposit rates	NRB quarterly monetary policy
GDP Growth Rate	How fast the economy is growing	Signals job market conditions and future income prospects	Ministry of Finance, World Bank
Remittance Inflows	Money workers abroad send home	Affects exchange rates, import capacity, property prices	NRB, Nepal Economic Forum
NEPSE Index	Value of listed companies in Nepal	Indicates investor confidence; relevant if you hold shares	nepse.com.np

How to actually read a financial news story

Most financial news follows a pattern: a number changed → here is what it means → here is what might happen next. The key skill is translating abstract numbers into personal implications.

PRACTICE EXAMPLE — NRB RATE DECISION

Headline: "NRB raises policy rate by 50 basis points to 5.5%"

What does it mean? NRB is trying to cool inflation or slow borrowing. It will cost banks more to borrow from NRB, so banks will raise the rate they charge customers.

What should you do? If you are planning a home loan in the next 3–6 months, rates may rise — you might lock in sooner. If you have a variable-rate loan, your EMI may increase. If you are a saver, fixed deposit rates may tick up — consider waiting before locking in a long-term FD.

PRACTICE EXAMPLE — REMITTANCE DATA

Headline: "Nepal's remittance inflows grow 12% year-on-year to USD 9.3 billion"

What does it mean? More foreign currency is entering Nepal. This supports the exchange rate and gives Nepal more capacity to pay for imports.

Personal implication: If family members abroad send money home, the NPR/USD exchange rate affects how many rupees arrive. A weaker rupee means more rupees per dollar sent — short-term benefit for recipients, but it also makes imports (fuel, electronics, medicine) more expensive for everyone.

The most important habit: Read one financial headline per day and ask yourself: "How does this affect my savings, my loans, or my purchasing power?" You do not need to understand everything. You need to connect what you read to your own financial situation. That connection — practiced daily — is financial literacy in action.

Reliable sources for Nepal's financial news

SOURCE	BEST FOR
Nepal Rastra Bank — nrb.org.np	Policy rates, monetary policy, banking regulations, forex data
Ministry of Finance — mof.gov.np	Annual budget, GDP data, government economic policies
The Annapurna Express / Republica	Daily economic and business news in English
OnlineKhabar / Setopati (Economic section)	Financial news in Nepali language

SOURCE

BEST FOR

NEPSE — nepse.com.np

 Stock market data and listed company information

**Nepal Economic Forum —
nepaleconomicforum.org**

 In-depth economic analysis and research

YOUR ACTION PLAN — MODULE 6

1. Bookmark nrb.org.np. Once a month, look at the latest inflation figure and current policy rate. Write down whether each is higher or lower than the previous month.
 2. Follow one Nepali financial news outlet. Spend 5 minutes per day on the economics section — focus on stories about banks, inflation, remittances, and the government budget.
 3. Practice the "so what" exercise: for every financial news story you read, write one sentence about how it might affect your personal financial decisions.
 4. Once comfortable with the basics, read Nepal's annual Monetary Policy Statement (released by NRB each July). It outlines economic strategy and predicts interest rate direction for the year ahead.
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Putting it all together

Financial literacy is not a course you complete. It is a set of habits and frameworks you apply continuously. Here is the sequence that works — regardless of your current income.

STAGE	FOCUS	WHEN TO MOVE ON
Stage 1	Build an emergency fund (3 months of expenses)	Emergency fund is fully funded in a dedicated savings account
Stage 2	Pay off high-interest debt (personal loans, MFI loans at 18%+)	No debt above 14% interest rate remains
Stage 3	Begin systematic savings toward a specific goal	Saving at least 20% of income monthly with a clear target
Stage 4	Start learning about investment instruments (FD, NEPSE, CIT)	Have at least 6 months of expenses in liquid savings before investing
Stage 5	Optimize: reduce unnecessary debt, increase investment rate, review goals annually	Ongoing — never fully complete

The most important thing to remember: You do not need a large income to build financial security in Nepal. You need clarity, consistency, and the ability to resist short-term pressure on your long-term plan. That is the real meaning of financial literacy — not knowing formulas, but making better decisions, every month, for the rest of your life.

Financial Literacy Curriculum · Nepal Edition

For current rates and monetary policy: nrb.org.np · For stock data: nepse.com.np

All figures and interest rates are approximate and for educational purposes only. Verify current rates with your bank.